

QED SHANKAR AIYAR

The Untold Scam



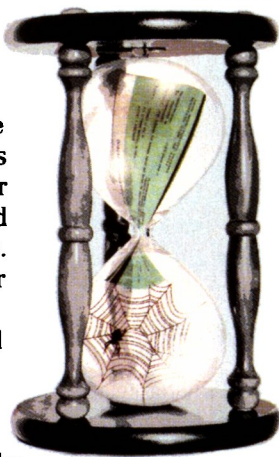
It could easily be characterised as the silent scam. Unnoticed or at least unattended, banks across the country have been party to a systemic flaw that denies the depositor access to his funds for days and weeks at times. If you issue a cheque in Delhi and send it to your parent in Mumbai, your parent may not get the money for at least a week because banks cannot process outstation cheques any faster. Indeed, even if you deposit an R.K. Puram cheque in Connaught Place or a Virar cheque at Colaba, it could take up to seven days for the money to appear on the screen. Sure, there are ways to jump the queue—ask for at par cheques, use Internet banking or pay by draft. But what about the common man? Is this the best the system can do?

Almost two decades back the Government of India and the Reserve Bank of India had decided to make banking faster. By what could have only been an inspired moment in systemic reforms, banks in four metros—Mumbai, Delhi, Chennai and Kolkata—issued a new kind of cheques armed with magnetic ink character recognition. Called MICR

cheques, they had six digit numbers and alphanumeric codes that enabled clearances by computers. The idea that we were sold in the late 1980s was that at least across the four metros cheques would be encashed within 48 hours. That is yet a dream for most depositors.

Despite many studies and two decades of computerisation, nothing of the sort has happened. If you ask the banks or the RBI, there will be perfectly Indian answers about how it takes time to get the system in place. The point is no longer how soon because that will be the subject of debate for another committee. What we need to settle first is who is sitting on the cash? Who is using the kitty? To get a sense of the magnitude consider this: in 2006-07 banks processed 1,370 million cheques worth Rs 12,056,100 crore. Even if 99 per cent of these clearances are instantaneous, what about the balance? Maybe nobody is benefiting but isn't the inefficiency shameful? Can India afford such inefficiencies?

Last week the Government was all concern for investors whose money was locked in public issues for over three weeks. Perhaps it was the crash of the liquidity-starved Sensex that triggered this. Perhaps. But surely the *aam aadmi* using the banking system deserves some concern too.



YASIN DAR



UNDER THREAT: Azad

Breach of Security

SRINAGAR Officials in Jammu and Kashmir deny it and call it an "exercise in sensationalism" by the media. But privately they admit that they recently uncovered a plot by militants to assassinate Chief Minister Ghulam Nabi Azad. Well-placed sources responsible for Azad's security revealed that an intelligence intercept two months back triggered a major overhaul of the chief minister's security. According to them, a Lashkar-e-Toiba (LeT) cadre was trying to study and report Azad's "security grid reference".

Prior to that, a Border Security Force soldier posted at the Srinagar residence of the chief minister was detained for his alleged contacts with Lashkar commanders. The trooper had allegedly claimed in his telephonic conversations with LeT commanders that he could be of help in carrying out any plan to target Azad, the sources said. Subsequently, top officials this month shifted out

nearly a dozen persons posted at Azad's residence in the winter capital Jammu. Among them, a telephone operator is being questioned for possible links with militants. Also, Indo-Tibetan Border Police personnel in the chief minister's inner security ring are being replaced by the commandos of the National Security Guards. "Their replacement will be completed by the end of next month," sources said.

Soon after the dramatic assassination of former Pakistani prime minister Benazir Bhutto on December 27 last year, security officials in the state had raised their guard securing mainstream politicians who have always been choice targets of separatist militants. The officials feared the attack on Bhutto could well "inspire" militants to target political bigwigs like Azad, Omar Abdullah and Mufti Mohammad Sayeed.

by Aijaz Hussain